

treating their investment portfolio like an extra bank account, pulling out money when they need it — that's what an emergency fund is for.

Take a moment to put this book down and really think about why you want to grow your wealth. 'I want more money' is a surface-level reason. It's not the real reason. What would more money mean to you? See the journal prompts at the end of this section for specific questions to consider.

Your investing goals should also have a time frame. Investors in training don't want to save up for a home deposit 'one day'. They want to have \$X in Y years.

Knowing how long you want to invest for also provides you with the path you need to take in terms of risk and asset allocation.

Whether you're investing for the

- short term (1–3 years)
- medium term (3–10 years)
- long term (10-plus years)

your investing approach will be different.

These are deep, thought-provoking and maybe slightly intrusive questions. Consider the following journal questions:

- Do you want to invest to retire early so that you can travel, because you feel like you only have a finite time on this earth and travelling young is very important to you?
- Do you want to invest to retire early, so you can spend more time with your family?
- Do you want to invest to buy a home because the security of owning the roof over your head means a lot to you?
- Do you want to invest so that you can stand on your own two feet because you value being independent from a partner or your parents?